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BUSINESS • EARNINGS

CVS to Raise Starting Pay to \$11 an Hour

Retailer also reports higher-than-expected earnings

By Sharon Terlep

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CVS plans to raise its starting pay and wages for lower-wage retail workers. RICHARD B. LEVINE/NEWSCOM/ZUMA PRESS

CVS Health Corp. **CVS 0.15%** ▲ said it will use some of the extra cash from the U.S. tax overhaul to raise its starting hourly pay to \$11 for U.S. workers, the latest company to announce employee perks in the wake of the legislation.

The company, with 240,000 U.S. workers, currently pays a starting wage of \$9 an hour, though many employees make more. It said that in addition to raising the minimum, it will increase pay for lower-wage retail workers at its nearly 10,000 U.S. stores. CVS didn't provide an average increase.

A tight labor market has driven up competition for unskilled hourly workers. Walmart Inc., the country's biggest private employer, said last month it would lift its starting pay to \$11 an hour. Several states and municipalities already have a minimum wage at or above \$11 an hour.

CVS also will offer all full-time employees four weeks of paid parental leave and will freeze employee health premiums for the coming year. About 100,000 workers are enrolled in CVS's employee health plan.

The moves are expected to cost \$425 million a year. The company said last month it expects the tax changes will boost cash flow in 2018 by about \$1.2 billion.

"We said that we would invest our tax savings back into our business, and that's exactly what we're doing," CVS Chief Executive Larry Merlo said in a statement.

CVS said paying a more competitive wage to retail workers, from pharmacy technicians to cashiers, will bolster efforts to make its stores into health-care hubs. Reinventing its stores is a key cog in CVS's plan to create a vertical health-care system with insurance giant Aetna Inc., which CVS last year agreed to acquire for \$69 billion.

Other money from the tax plan will go toward items such as data analytics and pilot programs aimed at improving health outcomes.

CVS also reported higher-than-expected fourth-quarter earnings on Thursday, as rising sales from its pharmacy-services segment offset sluggish retail growth.

The company said same-store sales excluding pharmacy sales rose 0.1% in the most recent quarter. The figure came in ahead of expectations from analysts polled by Consensus Metrix, who had predicted a 2% decline in same-store sales.

Overall for the period, the company reported a profit of \$3.29 billion, or \$3.22 a share, up from \$1.71 billion, or \$1.59 a share, a year earlier. Excluding the impact of the tax benefit per-share earnings grew to \$1.92 from \$1.71.

Revenue rose 5.3% to \$48.39 billion.

Analysts polled by Thomson Reuters had forecast earnings of \$1.89 a share on \$47.54 billion in sales.

CVS shares, down 3.5% over the past year, rose 0.9% to \$75 during premarket trading.

—*Imani Moise contributed to this article*

Write to Sharon Terlep at sharon.terlep@wsj.com

Sharon Terlep is an enterprise reporter covering the global automotive industry from The Wall Street Journal's New York offices. She writes about how the industry's biggest players shape how and what we drive, and about their impact on trade, manufacturing, labor and the global workforce. Sharon joined the Journal in 2008 in Detroit, wher...

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